

Fearnleys Dry Bulk Weekly

Dec 17, 2025



Capesize/Newcastlemax

We still expect a downtrend in the coming weeks due to seasonality, coupled with lower iron ore consumption in China. The most regular seasonal pattern is for the market to drop a bit more into the new year, but then find some stability or even firm up during the first two weeks of January.

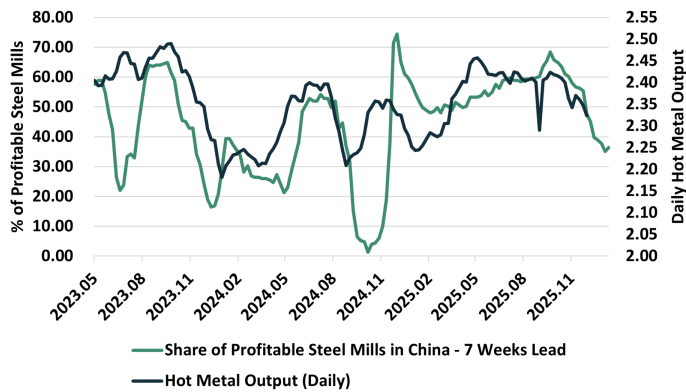
Top left chart: Hot metal output in China usually lags steel mill profitability by a few weeks. Output is suggested to continue falling in the coming weeks, with tentative signs that the fall will stop around late January.

Top right chart: Higher backwardation = more urgency to buy, and vice versa. The futures curve suggests tailwinds for Capes through most of Q1, but the curve has recently become less backwardated.

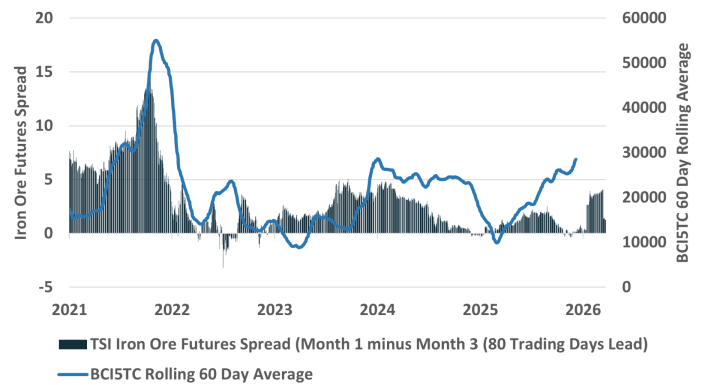
Bottom left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Bottom right chart: Profit margins at steel mills in China have been trending down since July. There are some signs of stabilisation now, with HRC margins recently turning positive.

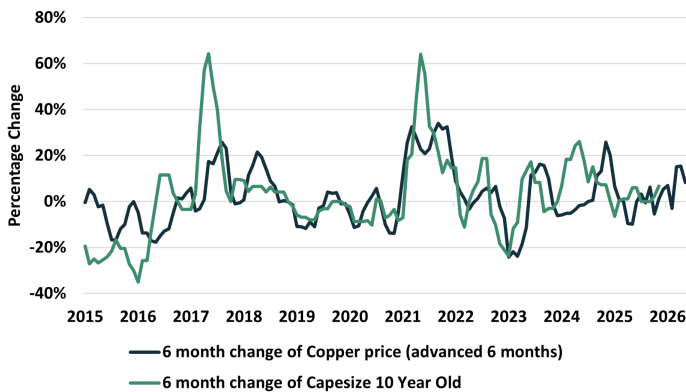
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



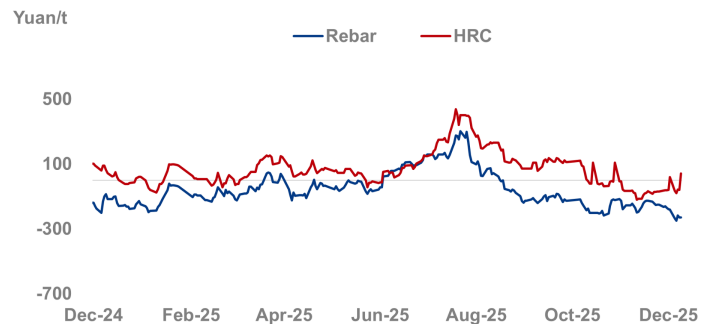
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Copper Price Lead vs Capesize 10-Year Old



Steel Mills Profit Margins - Rebar and HRC



Source: Mysteel Data

Panamax/Kamsarmax

The below indicators strongly suggest that a bottom is close.

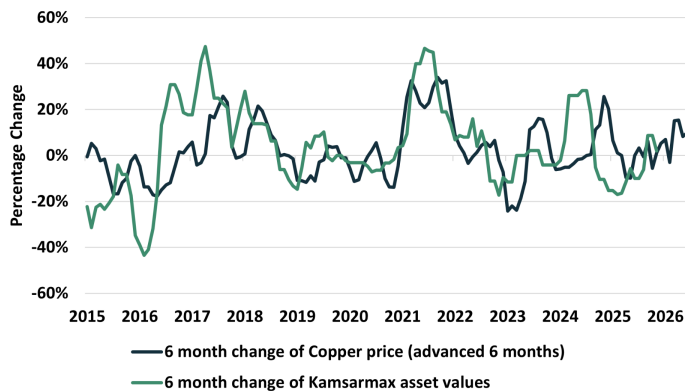
Top left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Top right chart: The coal futures curve is suggesting the market will stabilise here, and rally in January. Increasing backwardation is seen across various time spreads. Spot prices have fallen in the last weeks, especially in China, but prices remain higher than the lows this summer. Energy prices in general have fallen significantly recently, which is positive for the macro outlook through next year (cheap/expensive energy is a good leading indicator for higher/lower economic growth)

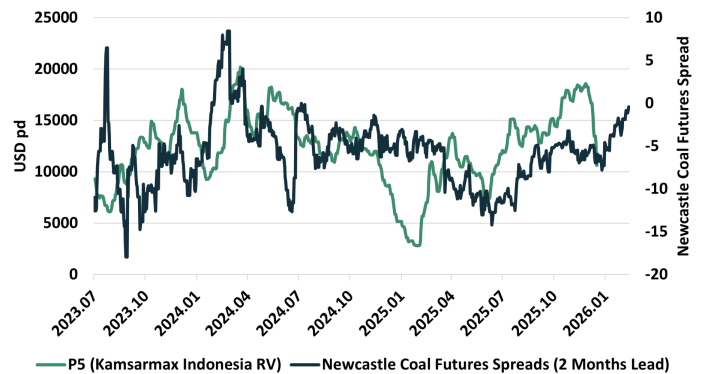
Bottom left chart: Two weeks ago, we wrote: "Not a leading indicator, but tracking the number of vessels entering the North Atlantic minus the ones leaving the North Atlantic against the P1A spread over P5. The net change is positive, indicating firmer demand and the potential for an "outperformance" in the North Atlantic vs other basins. The surging Capesize market is an additional factor there, as cargo splits could lend extra support." The relative outperformance in the North Atlantic has been down to weakness in other basins, especially Indo rounds. The net vessel change is suggesting the spread might narrow going forward.

Bottom right chart: The SATL tightness indicator suggests P6 could stabilize here and maybe see a slight rebound.

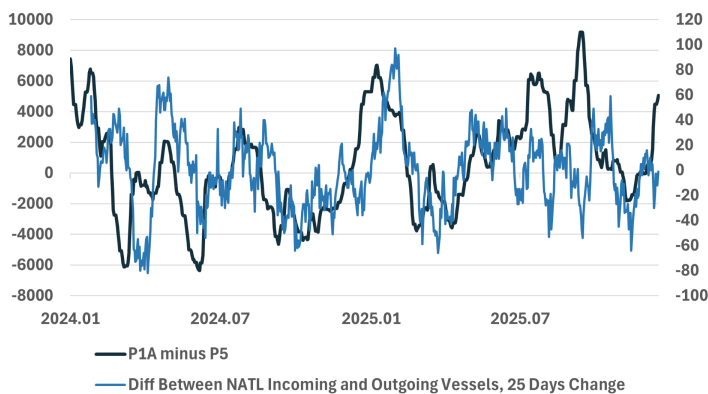
Copper Price Lead vs Kamsarmax 10 Year Old



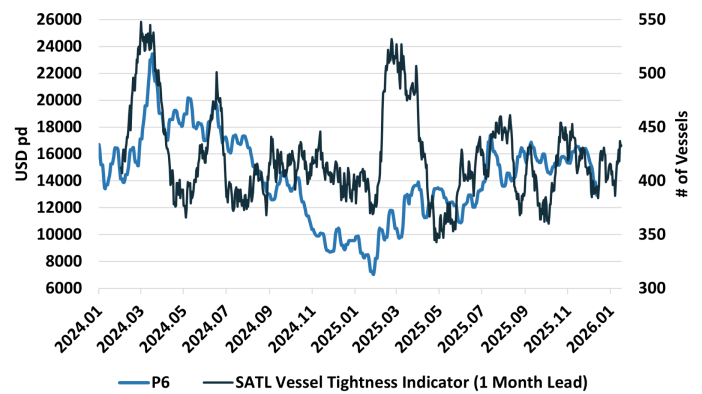
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic net Vessel Change vs P1A minus P5



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



Supramax/Ultramax

Bearish seasonality and a wide spread between the S11TC and P5TC index suggest the market will continue trending down in the next weeks.

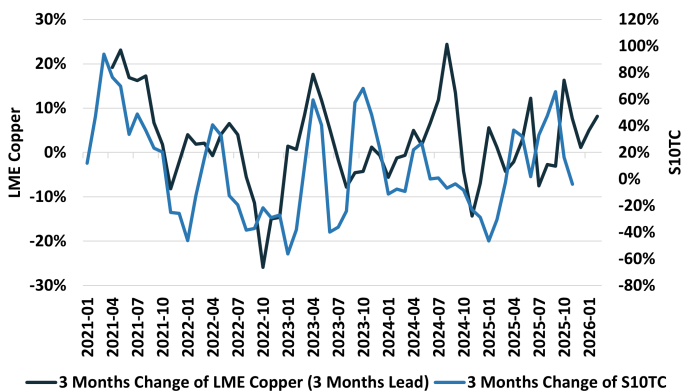
Top left chart: The three-month change of the price of copper, with the curve shifted forward three months, vs the three months change of S11TC. There will be some seasonal weakness in Jan/Feb related to CNY, but the copper price is suggesting positive momentum in Q1.

Top right chart: Same as with the top left chart, but here illustrated a bit differently, and against 1 year TC. Rising momentum suggested through Q1.

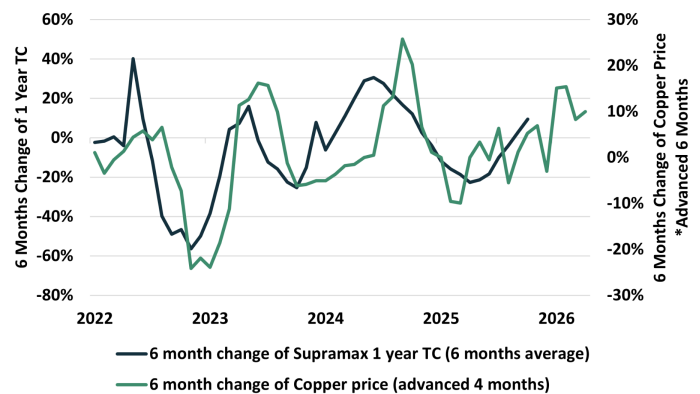
Bottom left chart: An industrial metals index including other metals as well, like Aluminium, Zinc and Nickel. This index is now at the highest level since Q2 2022. Will we therefore see the highest 1-year TC rates since Q2 2022 in the next months? It is a strong possibility.

Bottom right chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

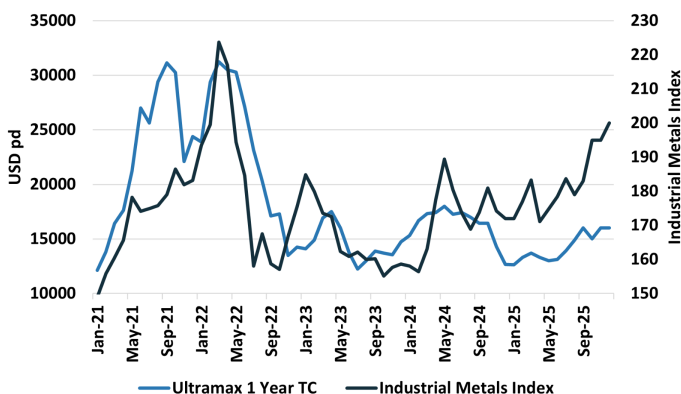
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



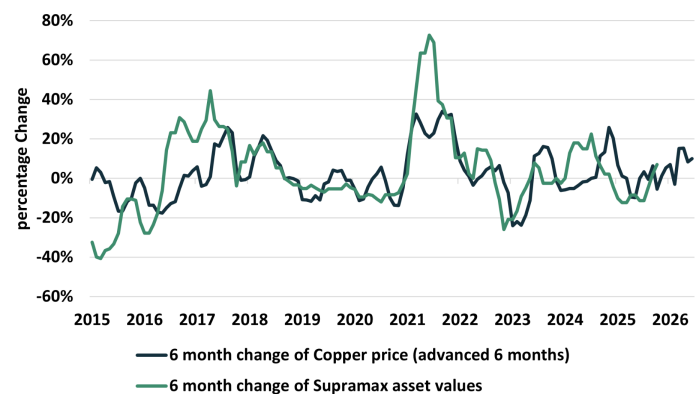
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Copper Price Lead vs Supramax 10-Year Old





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